

markets. Despite computer programs and black boxes, it is still people who make markets.

Because emotions are stronger than reason, fear and greed move stock prices above and below a company's intrinsic value. When people are greedy or scared, Buffett says, they often will sell stocks at foolish prices. In the short run, investor sentiment—human emotion—has a more pronounced impact on stock prices than a company's fundamentals.

Long before behavioral finance had a name, it was understood and accepted by a few renegades like Warren Buffett and Charlie Munger. Charlie points out that when he and Buffett left graduate school, they “entered the business world to find huge, predictable patterns of extreme irrationality.”¹⁹ He is not talking about predicting the timing, but rather the idea that when irrationality does occur it leads to predictable patterns of subsequent behavior.

Buffett and Munger aside, it is only quite recently that the majority of investment professionals have paid serious attention to the intersection of finance and psychology. When it comes to investing, emotions are very real, in the sense that they affect people's behavior and thus ultimately affect market prices. You have already sensed, I am sure, two reasons why understanding the human dynamic is so valuable in your own investing: (1) You will have guidelines to help you avoid the most common mistakes. (2) You will be able to recognize other people's mistakes in time to profit from them.

All of us are vulnerable to individual errors of judgment, which can affect our personal success. When a thousand or a million people make errors of judgment, the collective impact is to push the market in a destructive direction. Then, so strong is the temptation to follow the crowd, accumulated bad judgment only compounds itself. In a turbulent sea of irrational behavior, the few who act rationally may well be the only survivors.

In fact, the only antidote to emotion-driven misjudgment is rationality, especially when applied over the long haul with patient perseverance. And that is the subject of our next chapter.

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